BOARD QUESTION PAPER : FEBRUARY 2023
SECRETARIAL PRACTICE

Time: 3 Hrs. **Max. Marks: 80**

Note: *(1) All questions are compulsory.*
(2) Figures to the right indicate full marks for the questions.
(3) Figures to the left indicate question numbers.
(4) Answer to every question must be started on a new page.

Q.1. (A) Select the correct answer from the options given below and rewrite the sentences: **(5)[20]**

1. Company has to pay _____ to government.
   (a) taxes (b) dividend (c) interest
2. _____ shares are issued free of cost to existing equity shareholders.
   (a) Equity (b) Right (c) Bonus
3. _____ is a proof of title of shares.
   (a) Register of member (b) Share certificate (c) Letter of Allotment
4. Debenture Capital is a _____ capital of a company.
   (a) owned (b) permanent (c) borrowed
5. Dividend is paid first to _____ shareholders.
   (a) equity (b) preference (c) deferred

(B) State whether the following statements are True or False: **(5)**

1. Finance is related to money and money management.
2. Share certificate is issued for partly or fully paid up shares.
3. Government company can collect deposits from its members.
4. Depositors are given voting rights.
5. Primary market is also known as new issue market.

(C) Find the odd one: **(5)**

1. Face value, Market value, Redemption value.
2. Convertible debentures, Irredeemable debentures, Secured debentures.
3. Dividend warrant, Interest warrant, Demat.
4. DP, RBI, Depository.
5. Final dividend, Interim dividend, Interest.

(D) Select the correct option from the bracket. **(5)**

	Group 'A'		Group 'B'
(a)	Equity shares	(1)	_____
(b)	Operation of law	(2)	_____
(c)	_____	(3)	Debenture certificate
(d)	Dematerialization	(4)	_____
(e)	_____	(5)	Oldest stock exchange in India.

[Issued within 6 months of allotment, Physical to electronic mode, Fluctuating rate of dividend, Bombay Stock Exchange, Transmission of shares]

Q.2. Explain the following terms / concepts (Any FOUR): **[8]**

1. Working Capital
2. Overdraft
3. Rights issue
4. Depository Participant (DP)
5. Secondary Market
6. Stock Exchange

Q.3. Study the following cases / situations and express your opinion (Any TWO): **[6]**

1. Sai Ltd. Company is newly incorporated public company and wants to raise capital by selling equity shares to the public. The Board of Directors are considering various options for this. Advise the Board on the following matters:
   a. What should the company offer – IPO or FPO?
   b. Can the company offer Bonus shares to raise its capital?
   c. Can the company enter into Underwriting Agreement?
2. Mr. Kishore wants to demat his 25 shares of Hero Company Ltd. bearing certificate no. 100 and distinctive no. 76-100:
   a. Which form is he required to fill as a written request to the DP-DRF or RRF?
   b. Does he have to fill instrument of transfer if he wishes to transfer the same, after demat?
   c. Does he have to quote certificate number and distinctive number, if he wishes to transfer his shares after it is in demat form?
3. Diamond Company Limited is considering to declare Interim Dividend:
   a. In how many days of declaration it should transfer the funds to Dividend Account?
   b. In how many days it must pay it to Shareholders?
   c. Can the Board of Directors declare Interim Dividend out of capital?

Q.4. Distinguish between the following (Any THREE): **[12]**

1. Fixed capital and Working capital.
2. Shares and Debentures.
3. Initial Public Offer (IPO) and Further Public Offer (FPO).
4. Final Dividend and Interim Dividend.

Q.5. Answer in brief (Any TWO): **[8]**

1. State the contents of share certificate.
2. Explain four advantages of depository system for an investor.
3. State the functions of SEBI.

Q.6. Justify the following statements (Any TWO): **[8]**

1. A company can issue only certain types of debentures.
2. All companies cannot accept deposits from public.
3. Equity shares get last priority in payment of dividend.
4. Capital market is useful for corporate sector.

Q.7. Attempt the following (Any TWO): **[10]**

1. Write a letter to the member for the issue of share certificate.
2. Draft a letter to debenture holder informing him about redemption of debentures.
3. Draft a letter to the depositor regarding repayment of his deposit.

Q.8. Answer the following questions (Any ONE): **[8]**

1. What is an equity share? Explain its features.
2. Explain the statutory provisions for allotment of shares.